



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session
Majority Research Staff

HB 2176: health facilities; licensure; complaints; investigations

WILLOUGHBY FLOOR AMENDMENT

1. Specifies that DHS's decision or action under the informal dispute resolution process is not an appealable agency action.

WILLOUGHBY FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2176
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.
[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 36-420.05, Arizona Revised Statutes, is amended
3 to read:

4 36-420.05. Legal action or sale; change of ownership; effect
5 on licensure

6 A. The director may continue to pursue any court, administrative or
7 enforcement action against a licensee even if the health care institution
8 is in the process of being sold or transferred or has closed.

9 B. The department may deny an application for a health care
10 institution license if ~~either:~~

11 ~~1. The applicant, the licensee or a controlling person has a health~~
12 ~~care institution license that is in an enforcement action or court action~~
13 ~~related to the health and safety of the residents or patients.~~

14 ~~2. The department has determined for reasons other than those~~
15 ~~specified in paragraph 1 of this subsection that~~ the issuance of a new
16 license is likely to jeopardize resident or patient safety **BECAUSE THE**
17 **APPLICANT OR ANYONE IN A BUSINESS RELATIONSHIP WITH THE APPLICANT,**
18 **INCLUDING STOCKHOLDERS AND CONTROLLING PERSONS, EITHER:**

19 1. **HAS HAD A LICENSE TO OPERATE A HEALTH CARE INSTITUTION DENIED,**
20 **REVOKED OR SUSPENDED OR A LICENSE OR CERTIFICATE ISSUED BY A HEALTH**
21 **PROFESSION REGULATORY BOARD PURSUANT TO TITLE 32 OR ISSUED BY A STATE**
22 **AGENCY PURSUANT TO CHAPTER 6, ARTICLE 7 OR CHAPTER 17 OF THIS TITLE**
23 **DENIED, REVOKED OR SUSPENDED.**

24 2. **HAS A LICENSING HISTORY OF RECENT SERIOUS VIOLATIONS OCCURRING**
25 **IN THIS STATE OR IN ANOTHER STATE THAT POSED A DIRECT RISK TO THE LIFE,**
26 **HEALTH OR SAFETY OF PATIENTS OR RESIDENTS.**

1 C. The department may deny the approval of a change in ownership of
2 a currently licensed health care institution if the department determines
3 that the transfer of ownership, whether involving a NEW direct owner or
4 NEW indirect owner, may jeopardize patient safety BECAUSE THE NEW DIRECT
5 OWNER OR NEW INDIRECT OWNER OR ANYONE IN A BUSINESS RELATIONSHIP WITH THE
6 NEW DIRECT OWNER OR NEW INDIRECT OWNER, INCLUDING STOCKHOLDERS AND
7 CONTROLLING PERSONS, EITHER:

8 1. HAS HAD A LICENSE TO OPERATE A HEALTH CARE INSTITUTION DENIED,
9 REVOKED OR SUSPENDED OR A LICENSE OR CERTIFICATE ISSUED BY A HEALTH
10 PROFESSION REGULATORY BOARD PURSUANT TO TITLE 32 OR ISSUED BY A STATE
11 AGENCY PURSUANT TO CHAPTER 6, ARTICLE 7 OR CHAPTER 17 OF THIS TITLE
12 DENIED, REVOKED OR SUSPENDED.

13 2. HAS A LICENSING HISTORY OF RECENT SERIOUS VIOLATIONS OCCURRING
14 IN THIS STATE OR IN ANOTHER STATE THAT POSED A DIRECT RISK TO THE LIFE,
15 HEALTH OR SAFETY OF PATIENTS OR RESIDENTS.

16 Sec. 2. Title 36, chapter 4, article 2, Arizona Revised Statutes,
17 is amended by adding sections 36-424.04 and 36-424.05, to read:

18 36-424.04. Complaint investigations; basis of complaints;
19 time limit

20 A. WHEN ENTERING A HEALTH CARE INSTITUTION FOR A COMPLAINT
21 INVESTIGATION THAT IS FILED WITH THE DEPARTMENT, THE DEPARTMENT SHALL
22 NOTIFY THE LICENSEE OF THE GENERAL NATURE OF THE COMPLAINT OR COMPLAINTS
23 WHILE ENSURING THAT THE DEPARTMENT DOES NOT RELEASE ANY PROTECTED HEALTH
24 INFORMATION OR INFORMATION THAT MAY IDENTIFY THE COMPLAINANT.

25 B. IN CONDUCTING A COMPLIANCE INSPECTION OR INITIAL COMPLAINT
26 INVESTIGATION, THE DEPARTMENT MAY NOT CONSIDER OR INVESTIGATE ANY ALLEGED
27 VIOLATION THAT OCCURRED MORE THAN TWELVE MONTHS BEFORE THE DATE THAT THE
28 COMPLAINT WAS SUBMITTED TO THE DEPARTMENT.

29 36-424.05. Statement of deficiencies; informal dispute
30 resolution; written decision; amended statement

31 A. THE DEPARTMENT SHALL INCLUDE IN ANY STATEMENT OF DEFICIENCIES
32 THAT IS ISSUED AFTER A COMPLIANCE INSPECTION OR COMPLAINT INVESTIGATION
33 THE CITATION OF THE STATUTE OR RULE THAT APPLIES TO EACH IDENTIFIED
34 DEFICIENCY.

35 B. IF A LICENSEE RECEIVES A STATEMENT OF DEFICIENCIES FOLLOWING A
36 COMPLIANCE INSPECTION OR COMPLAINT INVESTIGATION AND THE LICENSEE WISHES
37 TO DISPUTE ANY IDENTIFIED DEFICIENCY, THE LICENSEE, DURING THE INFORMAL
38 DISPUTE RESOLUTION PROCESS, SHALL INDICATE TO THE DEPARTMENT WITHIN TEN
39 BUSINESS DAYS AFTER RECEIVING THE STATEMENT OF DEFICIENCIES EACH
40 DEFICIENCY THE LICENSEE IS DISPUTING AND PROVIDE:

41 1. AN EXPLANATION DEMONSTRATING, OR DOCUMENTATION SHOWING, THAT THE
42 LICENSEE WAS IN COMPLIANCE WITH THE IDENTIFIED DEFICIENCY AT THE TIME OF
43 THE COMPLIANCE INSPECTION OR COMPLAINT INVESTIGATION.

44 2. A REQUEST FOR THE INFORMATION TO BE CORRECTED OR RESCINDED AND
45 SUPPORTING DOCUMENTATION THAT EXPLAINS THE REASON THE DEFICIENCY SHOULD BE
46 CORRECTED OR RESCINDED.

1 C. THE DEPARTMENT SHALL REVIEW ANY INFORMATION AND DOCUMENTATION
2 PROVIDED BY THE LICENSEE PURSUANT TO SUBSECTION B OF THIS SECTION WITHIN
3 TEN BUSINESS DAYS AFTER RECEIVING THE INFORMATION AND RENDER A WRITTEN
4 DECISION. THE WRITTEN DECISION SHALL STATE WHETHER THE LICENSEE'S REQUEST
5 TO AMEND THE STATEMENT OF DEFICIENCIES IS ACCEPTED AND SHALL CONTAIN A
6 DETAILED EXPLANATION OF THE DISPOSITION OF EACH DEFICIENCY CONTAINED IN
7 THE DISPUTE.

8 D. IF ANY CHANGE IS MADE TO THE STATEMENT OF DEFICIENCIES DURING
9 THE INFORMAL DISPUTE RESOLUTION PROCESS, THE DEPARTMENT SHALL ISSUE AN
10 AMENDED STATEMENT OF DEFICIENCIES, WHICH MAY INCLUDE A DEFICIENCY-FREE
11 STATEMENT.

12 [E. A DEPARTMENT DECISION OR ACTION UNDER THIS SECTION IS NOT AN
13 APPEALABLE AGENCY ACTION FOR THE PURPOSES OF TITLE 41, CHAPTER 6,
14 ARTICLE 10.]

15 Enroll and engross to conform

16 Amend title to conform

JULIE WILLOUGHBY

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